UNIT II FORMS OF BUSINESS ORGANISATION

CHAPTER 4

SOLE PROPRIETORSHIP

8RS5Q4

எண்ணித் துணிக கருமந் துணிந்தபின்
எண்ணுவ மென்ப திழுக்கு. – குறள் 467

Couplet:

Consider, and then undertake a matter; after having undertaken it, to say "We will consider," is folly.

Learning Objectives

To enable the students to understand

i. the Forms of Business Organisation
ii. the meaning of a Sole Trader, Characteristics, Advantages and Disadvantages

4.01 Introduction

A business organisation is an organisation which is engaged in some industrial or commercial activity. It represents an institutional arrangement for carrying on any kind of business activity. It may be owned and controlled by a single individual or by a group of individuals who have entered into a formal or informal agreement to jointly conduct the business.

Every business undertaking is a separate and distinct business unit. It has its own identity and separate ownership. It can be distinguished from other undertakings on the basis of its ownership, management and control.

According to *Wheeler*, "a business undertaking is a concern, company or enterprise which buys and sells, is owned by one person or a group of persons and is managed under a specific set of operating policies".

All business undertakings are directly or indirectly engaged in the transfer or exchange of goods and services for value. They deal in goods and services on a regular basis. Their main motive is to earn profits and they are exposed to various types of risks.

Sole Trading Business

Sole Proprietorship is a form of business organisation in which an individual introduces his own capital, uses his own skill and intelligence in the management of its affairs and is solely responsible for the results of its operations. The individual alone may run the business or may obtain the assistance of employees. It is the first stage in the evolution of the forms of organisation and is, thus, the oldest among them.

commerce 1-15.indd 23 2/17/2021 4:48:45 PM